STAFF REPORT TO COUNCIL

Report Prepared By: Jake Belobaba, Director of Development Services
Meeting Date: February 2, 2021
File No: 6520-20
Re: **Grant Application to the Clean Coast, Clean Waters Initiative**

RECOMMENDATION:

That Council direct staff to:

1. Jointly prepare and submit with the Stz'uminus First Nation, an application to the Clean Coast, Clean Waters Initiative in the amount of $3,500,000 to remove sunken and derelict vessels and similar debris from the Ladysmith Harbour; and
2. Include in the 2021-2025 Financial Plan up to a maximum of $10,000 in expenses to prepare the joint funding application to the Clean Coast, Clean Waters Initiative, with the funds to come from General Government Reserves.

EXECUTIVE SUMMARY:

This report seeks Council's approval to make a joint application with the Stz'uminus First Nation to the Clean Coast, Clean Waters Initiative to fund shoreline and derelict and sunken vessel cleanup of the Ladysmith Harbour. The program provides 100% funding up to $3.5 million for coastal cleanup projects and staff have been in discussions with representatives from the Stz'uminus First Nation who are supportive of submitting a joint application.

PREVIOUS COUNCIL DIRECTION:

N/A.

INTRODUCTION/BACKGROUND:

The long industrial and marine history of the Ladysmith Harbour has left an unfortunate legacy of industrial debris, wrecks and abandoned vessels. It is estimated that at least 15 sunken vessels are on the harbour bottom and, at any given time a number of abandoned vessels and related debris can be found on the surface or shoreline. There is industrial waste such as wood and coal waste, scrap metal, and concrete throughout the harbour. The Waterfront Area Plan describes the cultural importance of the harbour to the Stz'uminus First Nation and the impact of past practices on the harbour:

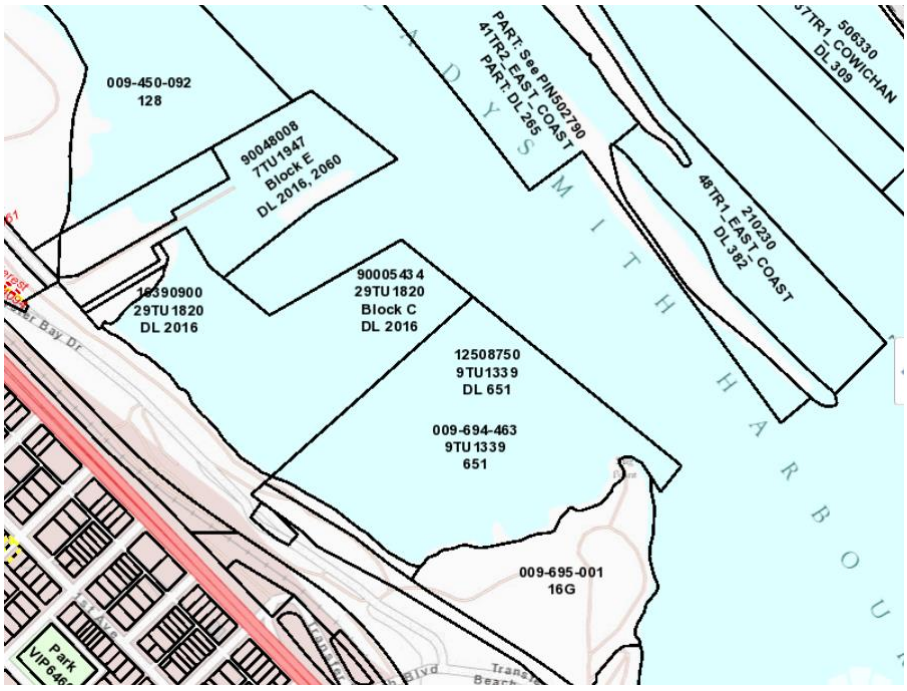
> "From time immemorial, these lands and waters have nourished and been stewarded by the ancestors of the Stz'uminus First Nation. Colonization and past industrial development ruptured this relationship, and left ecological scars on the water, the foreshore, and the uplands."

The complete cleanup of the harbour will be a long, multi-faceted and complex process. Dredging and remediation of contaminants are likely necessities in key areas (like the Ladysmith Marina/Slack Point Area). However, all future cleanup efforts will benefit from the removal of underwater, surface and shoreline waste.

The Clean Coast, Clean Waters Initiative was announced in January 2021 by the Government of British Columbia as part of its Pandemic Response and Economic Recovery Initiative. The fund is administered by PricewaterhouseCoopers on behalf of the Province. The program supports coastal Indigenous Nations, local governments and non-profit organizations and individuals with expertise in shoreline and marine cleanup. The funding program has two categories: 1) Marine shoreline cleanup; and 2) Derelict vessel removal. Up to $3.5 million is available for successful applicants. Applications are due by February 15th and cleanup must be completed by the end of 2021.

Ladysmith Harbour contains "water lots" which are somewhat rare in BC. The Province currently owns the lots between Transfer Beach and the Western Forest Products mill on Williams Point. These parcels host Slack Point, the Ladysmith Marina and Fisherman's Wharf (see figure one). There are leases or licenses of occupation on some of the parcels, including District Lot 2016, to which the Town holds the license of occupation and manages through an arm's length corporation[1].

Figure 1: Water Lots in Ladysmith Harbour



Much of the debris and sunken/abandoned vessels are located on District Lot 651 but there are a number of sites on the other water lots and in the federally controlled waters throughout the harbour. Surveys of sunken vessels and debris are dated or incomplete, making it difficult to delineate where cleanup efforts should be focused. Fortunately, removing wrecks from Crown land does not

[1] The DL2016 Holdings Corporation is controlled by the Town. The Ladysmith Maritime Society, under an MOU with the Town, operates the community marina on DL2016.

require Provincial approval as it is classified as a "permitted activity". New federal regulations also allow vessels to be declared "dilapidated" by the Coast Guard, to expedite their removal[2].

PROPOSAL:

Due to the tight deadline for this application, staff are recommending that $10,000 be allocated to prepare the grant application. The application requires details of vessels and debris to be removed, a challenge when most of the vessels are under water. Approximately $20,000-30,000 and several months of time will be needed for salvage experts and divers to develop a proper assessment, cost estimate and cleanup plan. However, an improvised approach, where existing hydrography information can be supplemented with a quick reconnaissance dive, is expected to be sufficient to meet application requirements. Subsequently, the $10,000 expense is expected to cover approximately $2,500-$5,000 for a grant writing consultant and the same amount for a dive team to explore the site. Pre-application expenses are not eligible under the grant.

Staff anticipate submitting a grant proposal focusing on submerged debris and vessels on DL651, DL2016 and adjacent federally controlled waters. Staff recommend seeking the maximum funding amount, as it is clear that the full $3.5 million is necessary to have any tangible impact. Incidental cleanup of the shoreline and surface will also be proposed, as it can be expected that debris will result from underwater and the surface salvaging processes (e.g. sunken vessels will likely break up as they are brought to the surface). Additionally, shoreline and surface cleanup, compared to underwater cleanup, creates benefit for the community that is more visible.

Staff have had discussions with the Coast Salish Development Corporation given the shared interest in cleaning up and redeveloping the harbour and implementing the Waterfront Area Plan. Town staff and the staff of the Coast Salish Development Corporation are supportive of a joint application. For the sake of expediency, Town staff are recommending that the Town cover grant preparation costs and that the consultant be directed to work with both Town staff and representatives from the Coast Salish Development Corporation and Stz'uminus First Nation to develop and submit the application.

ANALYSIS:

This funding opportunity provides a substantial source of funding to address a unique and longstanding issue in the Ladysmith Harbour and remove a barrier to a successful implementation of the Waterfront Area Plan. It is advisable to seek funding from the program as this is a rare opportunity and the project is an ideal "fit", suggesting a high probability of a successful grant application.

[2] See: https://www.ccg-gcc.gc.ca/awah-ienad/program-programme-eng.html

ALTERNATIVES:

Council can choose to:

1. Direct staff not to submit an application to the Clean Coast, Clean Waters Initiative.
2. Direct staff to submit an application to the Clean Coast, Clean Waters Initiative for a different project.

FINANCIAL IMPLICATIONS:

Grant writing consultant fees and diving costs (up to $10,000), can be covered from the General Government Reserves. The grant program does not require the Town to make a financial contribution to the cleanup cost, however, some in-kind expenses are expected.

LEGAL IMPLICATIONS:

N/A

CITIZEN/PUBLIC RELATIONS IMPLICATIONS:

Ladysmith Harbour is a special place for the community and cleanup efforts are expected to be well-received by stakeholders and the broader community. Staff have, and will continue to, consult with harbour stakeholders, including the Stz'uminus First Nation and the Ladysmith Maritime Society as part of the grant application process.

INTERDEPARTMENTAL INVOLVEMENT/IMPLICATIONS:

N/A

ALIGNMENT WITH SUSTAINABILITY VISIONING REPORT:

☒Complete Community Land Use
☐Green Buildings
☐Innovative Infrastructure
☒Healthy Community
☐ Not Applicable
☐ Low Impact Transportation
☐ Multi-Use Landscapes
☐ Local Food Systems
☒ Local, Diverse Economy

ALIGNMENT WITH STRATEGIC PRIORITIES:

☐Infrastructure
☒Community
☒Waterfront
☒ Economy
☐ Not Applicable

I approve the report and recommendation(s).

Allison McCarrick, Chief Administrative Officer